Zepto, who, along with Kaivalya Vohra, dropped out of Stanford to co-found the start-up in 2021.

Recently, the iPhone 16, priced at over Rs 79,900, became a sensation, with all platforms delivering it within 10 minutes. One might assume this demand stemmed from people wanting to avoid queues. However, Albinder Dhindsa, CEO of Blinkit, clarifies that this was true two or three years ago when they first started selling iPhones. Today, consumers are driven by the mindset of "why wait?"

HOW Q-COMM WORKS

The 10-minute delivery might seem like a simple business model but, in reality, it is a highly orchestrated operation powered by smart pick-path technology (see *How fast delivery works*). Swapnil Potdukhe, internet research analyst at JM Financial Institutional Securities, says, "It's an extremely complicated supply chain, more so than food delivery or even horizontal e-commerce." In food delivery, the players handle last-mile delivery and order generation, while the restaurant handles food preparation and quality. In contrast, q-commerce firms own the complete supply chain; they partner with brands directly, ensure goods move from the seller to their central warehouse on time and maintain optimum inventory levels at the dark stores (a retail distribution centre that caters exclusively to online shopping). Moreover, separate supply chains are maintained for fresh foods like fruits and vegetables, frozen foods and larger appliances.

In q-commerce, dark stores are the key differentiator, enabling better demand control. However, to maintain an asset-light model, most players own only a small percentage of their dark stores, with franchisees operating the majority. Dhindsa admits that just 50 per cent of their dark stores are company-owned. "To ensure all SOPs are followed, the company sets up a dark store, establishes the supply chain and operates it until it is near-profitable, before handing it over to a franchise partner to operate." In its latest financial report, Blinkit has highlighted plans to have 2,000 dark stores by 2026, from 639 as of June-end. Zepto is also aiming to increase its dark store count to 700 by March 2025.

How does the q-commerce model maintain high margins? "In the first two years of our business, we focused on backbreaking execution in a capital-constrained environment, and grew to over a billion dollars in topline revenue, faster than Flipkart reaching that same milestone," says Palicha. At a time when growth-stage startups in India struggled to secure funds, Zepto brought its total funding for 2024 to $1.4 billion (Rs 11,882 crore) at a valuation of $5 billion (Rs 42,435 crore). On the other hand, Zomato has infused Rs 2,300 crore into Blinkit since acquiring the firm in August 2022 in an all-stock deal worth Rs 4,447 crore. Swiggy plans to pump most of its IPO proceeds—expected to be around Rs 982 crore—into Instamart.

Meanwhile, the supply chain and brand partnerships for categories like fashion and larger appliances are being worked out. Dhindsa says, "Brands are exploring whether quick commerce can be a third way of buying, beyond malls and e-tailers. We don't have an answer yet, but we are working with them and enabling them." One of the biggest pain points in online fashion retail is returns and exchanges, which are as high as 30 per cent. Blinkit is piloting 10-minute returns and exchanges for apparel, footwear and a few other lifestyle items.

One of the significant advantages of controlling the entire supply chain is the high margins q-commerce players can negotiate with brands—up to 15-20 per cent. This is because they handle first-mile logistics, storage and



SWIGGY instamart	Market share# 20-25%	No. of dark stores: 609
Parent company Swiggy	No. of SKUs* 32,000+	No. of daily orders: .8-1 mn
Founded Aug. '20	Cities present in: 54	Average order value: ₹499

#As per UBS by July 2024; *stock-keeping units; source: company